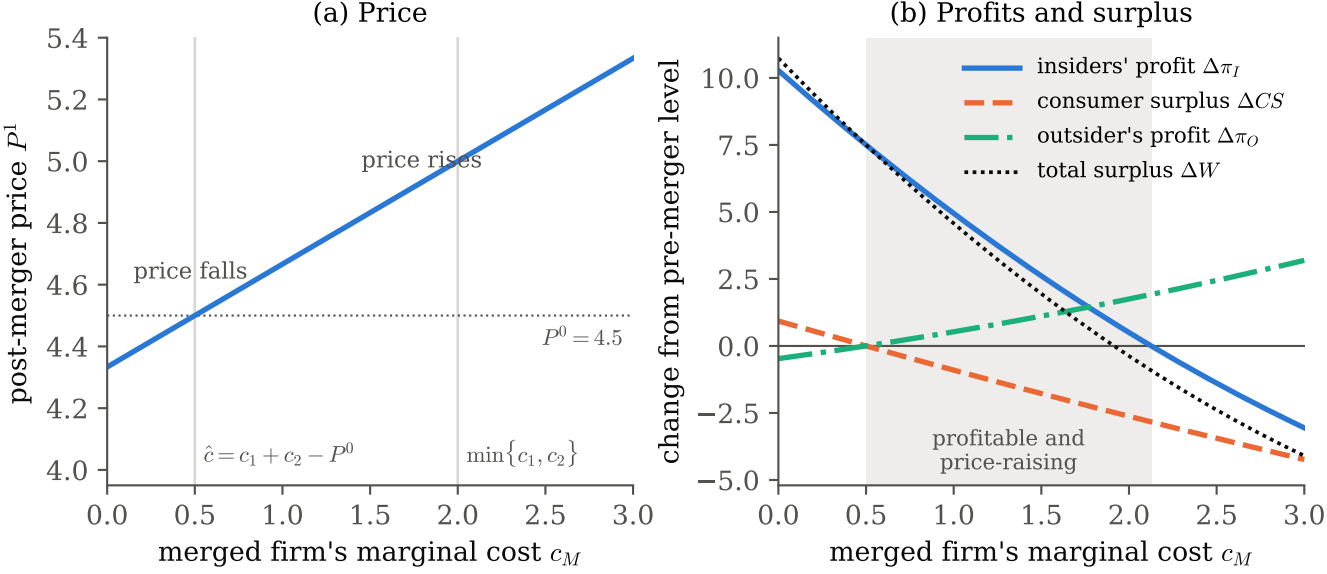
(a) Price
post-merger price P^1
5.4
5.2
5.0
4.8
4.6
4.4
4.2
4.0
price rises
price falls
$P^0 = 4.5$
$\hat{c} = c_1 + c_2 - P^0$
$\min\{c_1, c_2\}$
0.0
0.5
1.0
1.5
2.0
2.5
3.0
merged firm's marginal cost c_M
(b) Profits and surplus
change from pre-merger level
10.0
7.5
5.0
2.5
0.0
−2.5
−5.0
insiders' profit $\Delta\pi_I$
consumer surplus ΔCS
outsider's profit $\Delta\pi_O$
total surplus ΔW
profitable and
price-raising
0.0
0.5
1.0
1.5
2.0
2.5
3.0
merged firm's marginal cost c_M